

FUND PROSPECTUS

Sun Life Capital Global Equity Growth Fund

Date: January 2, 2025 | Ref: FUND-SLC-GEF-2025

Fund Type: Mutual Fund - Global Equity

ISIN: CA82571L1013

Inception Date: March 15, 2012

Management Fee: 1.65% per annum

MER: 1.89% (trailing 12 months)

AUM: \$2.4 billion CAD

Benchmark: MSCI World Index (CAD Hedged)

Investment Objectives

The Sun Life Capital Global Equity Growth Fund seeks to achieve long-term capital appreciation by investing primarily in a diversified portfolio of equity securities of companies located throughout the world. The Fund invests in companies with strong earnings growth potential, durable competitive advantages, and capable management teams. The portfolio manager applies a bottom-up, fundamental research process to identify high-quality businesses available at reasonable valuations.

Investment Strategy

The Fund employs a concentrated, high-conviction approach maintaining 35-55 equity positions. The portfolio manager constructs the portfolio without regard for regional or sector benchmarks - stock selection is the primary driver of risk and return. Geographic exposure across North America, Europe, Asia-Pacific, and Emerging Markets provides diversification, but the Fund may take significant positions in any single region when the opportunity set is compelling.

ESG integration is embedded in the fundamental analysis process. Companies with poor governance, environmental violations, or material social controversies will be excluded or underweighted. The Fund has achieved UNPRI signatory status and targets a carbon intensity below the MSCI World benchmark.

Key Investment Risks

- Equity Market Risk: The value of equity securities can fluctuate significantly based on company performance, market conditions, and investor sentiment.
- Currency Risk: The Fund invests in securities denominated in foreign currencies. CAD-hedged series reduces but does not eliminate currency impact.
- Concentration Risk: The Fund holds a relatively concentrated portfolio of 35-55 securities. Poor performance by a small number of holdings could materially impact Fund performance.
- Emerging Market Risk: Up to 20% of the Fund may be invested in emerging markets, which carry additional political, regulatory, and liquidity risks.
- Liquidity Risk: During periods of market stress, the Fund may face difficulty in disposing of some securities at a fair market price.
- Manager Risk: The Fund's performance depends significantly on the skill of the portfolio manager. A change in portfolio manager could adversely affect performance.

Performance Summary

Calendar year returns (net of fees, CAD hedged series): 2024: +24.7% | 2023: +18.3% | 2022: -19.1% | 2021: +28.4% |

2020: +22.6%. Benchmark (MSCI World CAD Hedged): 2024: +22.9% | 2023: +16.8% | 2022: -17.7% | 2021: +24.1% | 2020: +16.5%. The Fund has outperformed its benchmark in 4 of the past 5 calendar years.

Distributions and Redemptions

The Fund distributes any net income and net realized capital gains annually in December. Investors may purchase and redeem Fund units on any business day at the applicable NAV per unit. Units are priced at the end of each business day. Standard redemption proceeds are payable within three business days of the redemption date.